

The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · Naval shipbuilding, ship repair, and fleet sustainment

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The Navy's May shipbuilding plan says three things about maintenance that belong together, and this issue takes them one at a time. It is abandoning the long, everything-at-once availability. It says its own handling of intellectual property has produced "excessive non-competitive sole-source awards" that degrade organic repair capability, and there is a \$399.6 million contract pair showing exactly what that looks like on one destroyer class. And a House committee has reported a bill that would assign whole categories of surface combatant to single yards for five-year terms, which is still text on a page and cannot be awarded until a report reaches Congress.

And the workforce numbers behind all of it: the four public yards added 3,867 people over five years, of whom 431 could do production work. Labels: FACT is attributed to the named source in the same sentence; Assessment is this desk's analysis, built only on facts stated above it; Speculation is flagged as such.

OPERATIONS MAINTENANCE & READINESS

Smaller, more frequent availabilities: what that does to a schedule, and to a hull

FACT: the Navy Shipbuilding Plan of May 2026 states that "increased operational tempo continues to strain execution of established class maintenance plans," that "the Navy will no longer attempt to restore all capabilities and add upgrades in a single, lengthy maintenance availability," and that it is "integrating operations and maintenance into a maintenance continuum that will use smaller, more frequent availabilities to do needed work while increasing operational availability." A class maintenance plan is the engineering schedule saying which inspections and renewals a class of ship needs and when, and it is the document that protects material condition across a service life.

FACT: the same plan states "we must fix our maintenance schedules with disciplined planning measured to the hour, because every day a ship sits in dry dock beyond plan is a day we lend initiative to an adversary," and describes a "World Class Planning" approach using artificial intelligence and

machine learning, "digital twins" that "virtually replicate its ships and simulate decades of wear," and prediction of "which parts will be needed months in advance." FACT: it also states the Navy is "implementing an innovative set of contracting strategies like multi-ship sustained partnerships in private shipyards" and "awarding contracts earlier for complex maintenance to increase planning time and material procurement."

Assessment: the plan states the chain itself. Operational tempo is straining the class maintenance plan; rather than defend the plan, the Navy is changing the delivery model so ships come back faster. The objective it names is increasing operational availability, which means days at sea, and the mechanism is doing less per visit and visiting more often.

Assessment: for a yard executing this, the first effect is churn rather than volume. Annual man-days can hold flat while availability starts and finishes rise. Each start needs a work package, a crew assignment and a material call; each finish needs a test program and a turnover. A yard sized on man-days can be correctly sized and still late, because the constraint moves to how many simultaneous starts its planning and superintendent capacity can carry.

Assessment, and this is the part the plan does not address: work that only fits in a long availability. Some renewals are not divisible. Tank and void preservation, shaft and stern tube work, main reduction gear access and hull structure behind installed equipment all need the ship open, dry and torn down, and the cost of opening is largely fixed however much you do once you are in. Splitting one long availability into several short ones either pays that cost repeatedly or defers the work that needs it. The plan states the tempo problem and the delivery-model answer, and does not say which outcome it expects.

Speculation, flagged as such: if deferral is what happens, the signature would be a widening gap between planned and actual growth work — the additional work discovered once a ship is opened up — appearing as more of it found late in shorter availabilities. This desk has no data showing that. It is offered as the thing to watch, not as a finding.

Bottom line: plan for more starts and finishes rather than more hours, and treat the indivisible docking work as the risk this change carries, because the plan names the tempo problem and the delivery answer without saying what becomes of work that cannot be split.

Sources: *Navy Shipbuilding Plan, May 2026* {sources}

MAINTENANCE ENGINEERING & TECHNOLOGIES

When the record says “only one source,” somebody decided that years ago

Most of what a yard treats as supply risk is really a decision that was made during design and written down during contracting, and the contract record is where you can read it back.

FACT: the Navy Shipbuilding Plan of May 2026 states that “the DON has systematically undervalued its IP rights during contract formulation, resulting in proprietary lock-in on technical data packages, software, and sustainment data,” and that “this has led to excessive non-competitive sole-source awards in follow-on procurement and sustainment, driving up total ownership costs and degrading the Department’s organic maintenance capability.” A technical data package is the drawings, specifications and procedures needed to make or repair a part; without rights to it, only the original manufacturer can lawfully supply or overhaul the item.

Assessment: that is the Navy describing how a monopoly gets manufactured — not by a vendor cornering a market, but by a programme office deciding at design time that it did not need the data, and a sustainment office living with that for thirty years. The “organic maintenance capability” it says is degraded is a public yard’s ability to do the work in-house at all.

What that condition looks like in a record is visible in the shipboard air conditioning line.

FACT: federal award records at USASpending show Naval Surface Warfare Center Philadelphia Division holding two indefinite-delivery vehicles with a single company, together worth \$399.6 million in ceiling through September 2028, both coded “SINGLE AWARD,” “ONLY ONE SOURCE,” “NOT COMPETED” and “ONLY ONE SOURCE-OTHER (FAR 6.302-1 OTHER).” **FACT:** an April 2026 order under that arrangement, carrying the same coding, is described in the record as “DDG 51 FLT II ... HIGH EFFICIENCY SUPER CAPACITY (HESC) NEW

CONSTRUCTION AIR CONDITIONING PLANTS AND BACKFIT KITS,” a backfit kit being the version fitted to a ship already in service rather than one under construction.

Assessment, limit first: nothing here proves this particular determination is about data rights. A finding under FAR 6.302-1 can rest on qualification, tooling, or a design nobody else has been approved to build, and the document that would say which is the Justification and Approval behind the award, which this desk has not read. And the scope is one destroyer class, not the fleet — the Navy buys chillers for many ship types from more than one place.

Assessment: what to take from it is a reading habit rather than a headline. “Only one source” is not an opinion about a market, it is a contracting officer’s formal written finding that no alternative supplier exists, in a public record you can check in a minute. Where it sits against a long-lead item in your package, the exposure is not price and not competition: there is one queue, and no amount of schedule pressure creates a second. That is knowable before the ship arrives rather than after the part fails to.

Bottom line: the Navy has written down that its own IP practice manufactures sole-source dependence; check how your long-lead items were last coded, because “only one source” tells you a decision was already made and you are living inside it.

Sources: *Navy Shipbuilding Plan, May 2026; NSWC Philadelphia IDV N6449825D4018; NSWC Philadelphia IDV N6449825D4036; DDG 51 Flt II HESC order N6449826FX105* {sources}

BUSINESS PRACTICES & STRATEGY

The five-year, one-yard-per-category bill, and how far it is from real

FACT: section 1018 of H.R. 8800, as reported in the House, directs the Secretary of the Navy to enter a single indefinite-delivery, indefinite-quantity contract for the maintenance, repair and overhaul of “covered vessels” and to issue task orders “across availability periods” by private shipyards, “with a separate task order for each category of covered vessel,” makes the yard holding a task order responsible for “any routine, scheduled, or corrective life-cycle maintenance or repair activity of such vessels assigned to such shipyard,” and requires that no contractor’s term be “less than five years.” **FACT:** the section defines a covered vessel as “a surface combatant vessel, as such term is

defined in section 8227(e) of title 10, United States Code.”

Assessment: two things that structure does not do are worth saying plainly. It is organised by category of ship rather than by port, so it is not a homeport-based assignment. And it is one contract with task orders beneath it rather than a set of separate awards, so the categories get decided once and then govern for at least five years.

FACT: the section bars entering the contract or issuing any task order until the Secretary submits a report to the congressional defense committees, due not later than 180 days after enactment, containing the categories with “the number, classes, and anticipated availability schedules of vessels” in each, parts and supply-chain forecasting, “standardized work-item sequencing, bundling, and planning requirements,” an assessment of “the adequacy of facilities... including with respect to workforce capacity, dry dock and pier availability,” a cost baseline, and an identification of risks from “schedule disruptions, supply chain delays, or industrial base shortfalls.”

FACT: the section also requires metrics for contractor performance, schedule adherence, cost against baseline and “effects on the industrial base and workforce sustainment,” annual reports for five years, and provides at subsection (e) that the foreign shipyard restrictions of 10 U.S.C. § 8680 apply to any task order issued under it.

Assessment: so nothing has been awarded on this authority and nothing can be for some time. The sequence is enactment, then a report inside 180 days, then a contract, then task orders, and the bill it sits in is committee-reported text. This desk did not verify the floor status of either chamber’s bill, so no date should be inferred.

Assessment: which makes the report, not the award, the thing to want. A published statement of which classes group into which category, with availability schedules and an assessment of dry dock and pier adequacy, is the Navy writing down whose capacity it is counting on — and it arrives first.

Bottom line: a real structural proposal that is nowhere near real yet, and the thing to watch for is the 180-day report on categories and facility adequacy rather than a contract announcement.

Sources: *H.R. 8800, section 1018, as reported in the House* {.sources}

Deckplate: the yards hired 3,867 people and got 431 who could do the work

Two things get talked about as one problem and they are not the same thing. One is that the workload was never sized to the workforce. The other is what happened when the yards tried to hire their way out of it. They meet in one place, and it is the first-line supervisor’s week.

Start with the sizing, because it is the part nobody at a yard controls.

FACT: the Government Accountability Office reported in August 2020 that the Navy’s four public shipyards completed 38 of 51 maintenance periods late for aircraft carriers and submarines with planned completion dates in fiscal years 2015 through 2019, for a combined 7,424 days of delay. FACT: it found planned work was “23 percent more than might be expected to be completed without the use of overtime,” and that per the Navy, “completing the daily workload without the use of overtime would require 4,160 more shipyard personnel per day.” FACT: a shipyard’s own survey response in that report puts the mechanism plainly: “the amount of people that the shipyard is allowed to hire is based on planned work — without any reserve or surge capacity. Therefore, any unplanned work must be executed by the authorized amount of people.”

Assessment: that is a closed loop, and it is the whole reason overtime is structural here rather than occasional. Authorised headcount is set against planned work. Unplanned work is discovered after planning closes, by definition. So the gap between them can only be absorbed by the people already on the books, working longer. Overtime is not the yards’ response to a bad month. It is the design.

And it runs at that level continuously.

FACT: GAO found Naval Sea Systems Command set maximum overtime “ranging from 12 percent to 18.2 percent more hours than a standard 40-hour workweek,” that “every shipyard had exceeded the maximum overtime rates for every fiscal year we reviewed,” and that critical production shops ran “25 to 32 percent with peak overtime rates as high as 45 percent” — which GAO’s own footnote converts to 51.6 hours a week at 29 percent overtime and 54.8 at 37 percent. FACT: GAO cites a 2008 RAND study prepared for the Navy finding that “excessive overtime levels can result in large decreases in worker productivity due to fatigue,” and reports that fiscal 2015 to 2019 overtime “is

comparable to overtime rates reported in the 2008 study.”

Now the hiring, which is where the numbers get counterintuitive.

FACT: GAO found the four yards grew from 33,501 to 37,368 people over those five years, an increase of 3,867, “by hiring engineers, naval architects, supervisors, and apprentices, among other occupations.” FACT: over the same period, fully trained non-supervisory production personnel — the mechanics, welders and pipefitters who do the work — increased by **431**: Portsmouth up 371, Puget Sound up 149, Pearl Harbor up 144, and Norfolk **down 233**. FACT: GAO also notes it can take up to four years for an apprentice to reach journeyman and five to seven to become fully trained, and that because leave counts inside the full-time equivalent calculation, “it may require more than one end strength person to provide the productive capacity of a single worker for 40 hours a week 52 weeks per year.”

Assessment: so the hiring happened and the capacity did not, at least not yet. Roughly one in nine of the added people could do production work at the time GAO counted. The rest were apprentices who will be fully trained somewhere between 2029 and 2031 if they stay, plus supervisors, engineers and support. A yard reading its own end-strength chart in 2019 would see a workforce up nearly four thousand and a production bench up four hundred, and those two numbers point in different directions.

Here is where the two problems actually connect, and it is the only place they do.

FACT: GAO found that over the same five years supervisors for production personnel increased by 408, within twenty-three of the 431 journeymen added, and records what those supervisors do: “according to Navy officials, supervisors engage in direct production to some extent and also provide on-the-job training to apprentices.”

Assessment: that sentence is the hinge. The supervisor is not doing one job, they are doing three: running the shift, producing alongside it, and training the apprentices who make up much of the headcount growth. Those three compete for the same hours, and the hours in question are the 51-plus hour weeks above. So the training that converts an apprentice into a journeyman — the thing that would eventually close the capacity gap

— is being delivered by the person with the least slack in the building, inside a workweek that RAND already told the Navy is long enough to cost productivity.

What this issue is not claiming. GAO does not test whether adding supervisors improved output, and neither does this desk. The report gives headcounts and delays; it does not attribute one to the other, and 408 supervisors arriving alongside a large apprentice intake is exactly what you would expect whether the policy is working or failing. The defensible statement is narrower: hiring more supervisors has already been done at close to one per added journeyman, so “we need more supervisors” is no longer an untested idea, and the question worth asking instead is what those hours are spent on.

FACT: the Navy itself reported in February 2020 that continuing to rely on overtime for planned workload “is not likely to improve shipyard productivity, cost-effectiveness, and the timeliness of ship maintenance,” and GAO found that as of June 2020 the Navy had not updated its workforce requirements to reduce it.

Bottom line: the workload is sized 23 percent above what the workforce can do straight-time, the five-year hiring push added 3,867 people and 431 of them could do the work, and the supervisor who has to convert the other apprentices into journeymen is doing it while producing, on a 51-hour week — so the lever is what a supervisor’s hours are protected for, not how many supervisors there are.

Sources: GAO-20-588, Navy Shipyards: Actions Needed to Address the Main Factors Causing Maintenance Delays {sources}

The Waterfront Brief is compiled weekly by the B2 vault’s research engine from NAVSEA and Navy releases, DVIDS, USNI News, Stars and Stripes, Government Executive, Maine Public, congressional records and USASpending award records, then synthesized and labeled by hand (129 sources staged this week). Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners. Freshness policy: every article’s anchor source is under 12 months old; this issue’s anchors run from six weeks to four months old, and older material appears only as clearly dated context, which here means GAO’s 2020 report on shipyard maintenance delays. Contract-record figures are read directly from the USASpending API rather than from press summaries. FACT means the named source says it, not that this desk has independently verified it; Assessment is analysis built only on facts stated above it. Corrections welcome; the staged sources are retained for audit.

UPCOMING EVENTS

Nearest first, filling the page (dates and registration deadlines exactly as organizers publish them). **Bold** marks a decision that closes inside the next 60 days.

Dates	Event	Register by	Why it matters
Aug 18-19, 2026	National Shipbuilding Research Program (NSRP) Electrical Technologies Panel Meeting, Pullman, WA (also virtual)	None published (Cvent link open)	The panel behind the fiber-optic switchboard-sensing pilot; tech transfer for electrical condition monitoring
Aug 24-25, 2026	NSRP Workforce & Compliance Panel Meeting, Pensacola, FL	In-person closed Aug 13, 2026	Cross-yard workforce practices while the Navy chases its 250,000-hire target
Aug 25-27, 2026	PSNS & IMF Sustainment Accelerator, Bremerton, WA (National Center for Manufacturing Sciences, with Puget Sound Naval Shipyard and Intermediate Maintenance Facility)	Not published	A public yard publishing the gaps it will be sold on: non-destructive testing, welding, portable power and machining, 3D scanning and metrology, confined-space monitoring, fibre-optic splicing, unmanned systems
Sep 22-24, 2026	Fleet Maintenance & Modernization Symposium 2026, Virginia Beach, VA (American Society of Naval Engineers, ASNE)	Early bird thru Aug 16, 2026	The flagship fleet-maintenance event for exactly this work
Sep 29 - Oct 2, 2026	Shipbuilders Council of America Fall Membership Meeting 2026, Washington, DC	Members only; none published	The surface-repair industrial base's Hill-and-Navy engagement window
Oct 28-29, 2026	Arctic Operations Symposium 2026, Baltimore, MD (ASNE)	Not published yet	Cold-region sustainment, hull and machinery readiness
Nov 16-17, 2026	Navy Procurement Outlook Summit, Reston, VA (Defense Leadership Forum)	Eventbrite open; no deadline published	Shipbuilding-plan and contracting priorities, with contracting-officer access
Dec 7-9, 2026	Technology, Systems & Ships / Combat Systems Symposium, Arlington, VA (ASNE)	Not published yet	Technology and ships exchange near the NAVSEA customer
Jan 26-28, 2027	Military Additive Manufacturing Summit, Tampa, FL	Tiers: Oct 2 / Dec 4; closes Jan 22	Metal and polymer print qualification and NAVSEA-spec adoption
Mar 23-25, 2027	NSRP All Panel Meeting 2027	"Coming soon" per NSRP	Where yard R&D ideas get socialized and teamed program-wide
Apr 12-15, 2027	RAPID + TCT 2027, Detroit, MI (SME)	None published	The largest additive show in North America; the market read behind the Danville pipeline

Beyond the printed window, rolling in as it approaches: Indo Pacific 2027 International Maritime Exposition (Nov 2-4, 2027).